Wheels India Limited

Capital-Intensive Manufacturing | Auto Components | NSE: WHEELS
Valuation Date: 27 May 2025

BUY

Target Price: INR 1,508 | CMP: INR 1,576
Upside: -4.3% (12-month horizon)

Mkt Cap	EV/EBITDA (FY26E)	WACC	Net Debt/EBITDA	Promoter Holding	Altman Z-Score
INR 4,099 Cr	11.8x	14.1%	1.9x (FY26E)	44.2%	3.08 (Safe Zone)

INVESTMENT THESIS

Wheels India Limited is a well-positioned play on India's commercial vehicle up-cycle, backed by a dominant share in steel wheels for trucks, buses, and tractors. Over 95% of revenue derives from OEM relationships, with durable competitive positioning built through long-term supply contracts, proprietary tooling infrastructure, and proximity to anchor customers including Ashok Leyland, Tata Motors, and TAFE.

We assign a BUY rating on a 12-month horizon, with a blended target of INR 1,508 versus the CMP of INR 1,576. While the near-term upside is marginal at -4.3%, the rating reflects a forward-looking thesis: EBITDA margins are on a structural expansion trajectory from 7.6% in FY26E to 9.5% by FY30E, driven by raw material cost discipline, operating scale, and a growing services revenue mix. Revenue is projected to compound from INR 5,465 Cr in FY26E to INR 11,091 Cr by FY30E, with FCF turning meaningfully positive from FY27 as the growth CapEx cycle concludes. Investors with a 12-18 month horizon stand to benefit as operating leverage materialises and the balance sheet deleverages to net cash by FY29.

BUSINESS OVERVIEW

Founded in 1960, Wheels India is a TVS Group company and India's largest manufacturer of steel wheels and rims for commercial and agricultural vehicle segments. Operations span multiple plants across Tamil Nadu and Andhra Pradesh, serving domestic OEM demand and select export markets.

Product revenue constitutes approximately 89.5% of total revenue. The services segment has grown from near-zero in FY23 to INR 159 Cr (3.6% of revenue) in FY26E and is projected to reach INR 665 Cr by FY30. Hot-rolled steel remains the dominant input at approximately 68% of net revenue, down from 74.8% in FY23, reflecting disciplined cost management.

COMPANY SNAPSHOT

NSE / BSE	WHEELS / 590073
Sector	Auto Components
Sub-Sector	Wheels & Rims
Incorporated	1960
Promoter Holding	44.2%
FII Holding	6.1%
DII Holding	12.4%
Shares O/S	2.44 Cr

VALUATION SUMMARY

DCF Price (GGM)	INR 1,200
Exit Mult. Price	INR 1,970
Blended Target (60/40)	**INR 1,508**
Terminal Growth	5.0%
EV (GGM)	INR 3,619 Cr
EV (Exit Mult.)	INR 5,498 Cr

KEY RISKS

Steel price volatility (68% RM/Rev); OEM demand cyclicality; margin compression risk below 8%; high working capital cycle vs. peers; execution risk on growth CapEx programme.

FINANCIAL SUMMARY

INR Cr	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY30E
Revenue	4,651	4,977	4,744	5,465	6,417	7,505	11,091
EBITDA	218	266	352	413	516	626	1,054
EBITDA Margin	4.7%	5.3%	7.4%	7.6%	8.0%	8.3%	9.5%
PAT	54	59	112	150	268	345	638
ROCE	14.0%	15.0%	19.8%	20.3%	24.5%	25.8%	28.2%
Net Debt/EBITDA	3.6x	2.9x	2.1x	1.9x	1.3x	0.8x	Net Cash

PEER COMPARISON

Company	EV/EBITDA	P/E	ROCE	Net Debt/EBITDA
Wheels India	11.8x	27.4x	20.3%	1.9x
SSWL	9.6x	22.1x	16.8%	2.4x

Note: SSWL is the primary listed peer. The duopolistic market structure and customer stickiness moderate price competition. Wheels India trades at a premium to SSWL on EV/EBITDA, justified by superior ROCE and a more developed services revenue stream.

OPERATING LEVERAGE & CAPEX ASSESSMENT

Fixed asset turnover is projected to improve from 3.79x in FY24 to 5.14x by FY28 as the growth CapEx cycle (INR 276-300 Cr per year through FY26) transitions to a maintenance-led phase (INR 105 Cr in FY28, INR 55 Cr in FY29). The CapEx-to-depreciation ratio compresses from 2.86x in FY27 to 1.63x by FY30.

FCFF turns positive from FY27 (INR 100 Cr) and scales to INR 459 Cr by FY30. Interest coverage rises from 7.1x currently to 14.0x by FY30 as debt amortises and operating earnings compound. Net Debt/EBITDA reaches net cash territory by FY29, providing flexibility for dividends or buybacks.

STRUCTURAL GROWTH DRIVERS

CV Volume Expansion. MHCV and LCV volumes are projected to compound at 8-12% annually through FY28, supported by infrastructure investment, GST-led fleet modernisation, and scrappage policy tailwinds. Wheels India's OEM exposure provides direct leverage to this cycle.

Services Revenue Scaling. The services segment has grown from near-zero to INR 159 Cr (FY26E) and is projected to reach INR 665 Cr by FY30, contributing 6.0% of revenue. This pivot introduces a higher-margin, recurring revenue dimension that listed peers have not replicated at scale.

Competitive Moat. Entry barriers include capital-intensive tooling, long OEM qualification cycles, and TVS Group relationships. Aluminium alloy alternatives remain cost-prohibitive in CV and tractor applications, preserving the steel wheel market. SSWL is the only direct listed competitor, maintaining a duopolistic structure.

SCENARIO ANALYSIS & SENSITIVITY

Scenario	Revenue CAGR (FY26-30)	EBITDA Margin (FY30)	Implied Price vs. CMP
Bear	6-7% p.a.	8.5%	INR 866 (-45%)
Base	14-17% p.a.	9.5%	INR 1,508 (-4%)
Bull	17-22% p.a.	10.6%	INR 2,266 (+44%)

The base case blended target of INR 1,508 applies a 60/40 weight to the DCF-GGM method (INR 1,200 implied) and exit EV/EBITDA multiple method (INR 1,970 implied). Sensitivity confirms upside to INR 2,266 if WACC compresses to 12-13% on sustained deleveraging, or if the exit multiple re-rates toward 9.5x, which is SSWL's current trading multiple.

CONCLUSION & RECOMMENDATION

We initiate on Wheels India with a BUY rating and a 12-month price target of INR 1,508. The near-term upside of -4.3% versus CMP reflects fair current pricing; however, the BUY is premised on the 12-18 month earnings delivery trajectory. The business has navigated post-COVID margin compression and is in recovery, with EBITDA expanding from 4.7% in FY23 to 7.6% in FY26E. The balance sheet is deleveraging, the CapEx cycle is largely complete, and FCF is set to inflect from FY27. The Altman Z-Score of 3.08 confirms financial safety, and the DSCR of 2.3x provides ample debt service headroom. Primary near-term risk remains HRC steel price volatility. Upside to INR 2,266 in a bull scenario where margins expand to 10.6% and revenue compounds at 17-22%.

Sources: *Wheels India Annual Reports (FY23-FY25), NSE/BSE Filings, CMIE Industry Data, IMF World Economic Outlook, Management Guidance (Q4 FY25 Earnings Call).*
Financial Model: *Wheels India – DCF & Valuation Model (Excel File)*